

What is investment?

1. Definitions

Investment 投资	In this handout, financial investment (金融投资) means putting money into an asset (资产) to seek future total return (总回报). Total return = income + change in market value (市场价值). Evidence can support the expectation, but possible loss (可能亏损) remains. Examples: capital gain (资本利得) when an asset is sold above its purchase cost															
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Speculation 投机	In this handout, speculation means trading mainly to profit from a predicted price change (预测的价格变动); income or long-term value is not the main basis. Research may be careful; classify by the main purpose of the trade. Examples • Shares traded mainly because of an unverified rumour (传闻) • Gold traded mainly for a rapid resale gain • Foreign currency (外币) traded after a researched exchange-rate prediction (汇率预测)															
Saving 储蓄	Saving is the part of current income not spent now. Here, saving prioritises capital preservation (保本) and liquidity (流动性). Examples • Emergency fund (应急资金) in an easy-access account (灵活存取账户) • Examination fees held in a bank deposit (银行存款) • Short-term cash buffer (现金缓冲) earning modest interest															

2. Choose: Investment (投资), speculation (投机) or saving (储蓄)?

Clue or decision	Category (类别)
1. The main basis is expected income and/or evidence about underlying value (基础价值); possible loss (可能亏损) is accepted.	<i>Investment</i>
2. The main reason is a predicted price change (预测的价格变动); income or underlying value (基础价值) is not the main basis.	
3. Money is kept mainly for a future need, safety and ready access.	
4. Amina studies profits, cash flow (现金流) and debt at several companies before buying a diversified share portfolio (多元化股票组合). She expects dividends (股息) and evidence-supported long-term price growth.	
5. Bao borrows after an online rumour (传闻) predicts a price rise next week. He will sell after an announcement.	
6. Chloe estimates rent, maintenance and vacancy costs (空置成本). She buys a flat mainly for net rental income (净租金收入).	
7. Daniel needs examination-fee money in eight months, so he uses an easy-access account (灵活存取账户) for safety and liquidity.	
8. Eva invests for university in ten years using a diversified fund (多元化基金). She reviewed fees and risks and accepts a possible fall in market value (市场价值).	
9. Farah keeps an emergency fund (应急资金) in an easy-access account (灵活存取账户). Quick withdrawal matters more than return.	
10. George buys a bond fund (债券基金) for retirement after checking interest income, credit risk (信用风险), interest-rate risk (利率风险) and fees (费用).	
11. Hadi buys Bitcoin (比特币) after an influencer predicts a weekend price jump. He will sell immediately if it happens.	
12. Iris buys foreign currency (外币) before a central-bank announcement (央行公告). Her expected gain (预期收益) depends on a price prediction (价格预测).	
13. Jun needs tuition money in three months, so he uses an easy-access account (灵活存取账户) for safety and liquidity.	

| MCQs

Circle the best answer.

1. What is the strongest evidence that a decision is a financial investment (金融投资)?

- A. The asset (资产) has risen in price before.
- B. The main basis is expected income and/or evidence about underlying value (基础价值), while possible loss (可能亏损) is accepted.
- C. Money can be withdrawn immediately with no possible loss (可能亏损).
- D. The buyer plans to sell after an unverified rumour (传闻).

2. Which decision is saving (储蓄) rather than financial investment (金融投资)?

- A. Keeping school-trip money in an easy-access account (灵活存取账户).
- B. Buying a diversified fund (多元化基金) for long-term growth after reviewing its fees (费用) and risks.
- C. Buying shares for dividends and long-term value after analysing profits, debt and cash flow (现金流).
- D. Buying property mainly for expected net rental income (净租金收入).

3. Which evidence most clearly indicates speculation (投机)?

- A. Expected bond interest after analysing credit risk (信用风险).
- B. Expected net rental income (净租金收入) after estimating vacancy (空置) and maintenance.
- C. Borrowing after a rumour (传闻) of a next-week price jump and planning a quick sale.
- D. Accepting that a diversified fund (多元化基金) held long term can lose value.

4. Which statement about saving (储蓄) is correct?

- A. Earning interest automatically changes saving into financial investment (金融投资).
- B. Saving cannot lose purchasing power (购买力).
- C. Capital preservation (保本) and liquidity (流动性) can matter more than a high return.
- D. Saving always means holding cash at home.

5. Two people buy the same asset (资产). Why might one be investing (投资) and the other speculating (投机)?

- A. The asset (资产) name decides the category.
- B. The person who pays the higher price is the speculator (投机者).
- C. One bases expected return on income and/or evidence about long-term value; the other mainly on a price prediction (价格预测).
- D. The person planning to sell sooner is always the speculator (投机者).

| Think:

Use at least two accurate terms in each answer. Explain rather than give only yes or no.

1. Save (储蓄) first or invest (投资) now?

Mina receives ¥500 and has no money set aside for emergencies. Should she save some before investing? Explain. You may use two or more terms: emergency fund (应急资金), liquidity (流动性), essential spending (必要支出), possible loss (可能亏损).

2. Match the decision to the time horizon (投资期限)

Leo needs the money for a laptop in six months. He wants a higher return but cannot afford a loss. Should he save or invest it? Explain. You may use two or more terms: time horizon (投资期限), liquidity (流动性), capital preservation (保本), possible loss (可能亏损).

3. Identify speculation (投机) and its risk (风险)

Nora borrows money to buy shares after an unverified online rumour. She will sell tomorrow if the price rises. What makes this speculation (投机), and how can borrowing make the loss worse? You may use two or more terms: rumour (传闻), price prediction (价格预测), borrowed money (借入资金), repayment obligation (偿还义务), possible loss (可能亏损).
